10 Nov 2026 10:06:24 ET | 14 pages

Asia Vital Components (3017.TW)

3Q26 Beat on Margins Reinforces AI Thermal Ramp; TP Maintained at NT$4,350

CITI'S TAKE

AVC reported net profit of NT$11.6bn, topping Coto/cons estimates by 2%/2% respectively, driven by margins beat partly offset by a non-ops FX loss. GPM improvement was above expectations on a richer liquid cooling mix, yield gains and disciplined raw material pass-through. Mgmt. guided positively for 4Q26 and 2027, led by AI ASIC ramp-up and Vera Rubin ramp up. We model 16% QoQ revenue growth for 4Q26E. GPM guidance also points to further sequential improvement on a higher liquid cooling mix and scale effects. Mgmt. reiterated 2026E/27E capex of NT$15bn/15-20bn, alongside 50%+ cold plate capacity expansion, underscoring capacity conviction. We fine-tune our earnings forecasts to reflect updated guidance and maintain TP at NT$4,350 (25x 2027E EPS). Reiterate Buy.

3Q26 results beat on margins — AVC's reported 3Q26 net profit of NT$11.6bn (+20% QoQ/+52% YoY) beat Citi/cons forecast by 2%/2%, driven by better-than-expected margins, partly offset by a non-ops loss. 3Q26 GPM came in at 33.9% (+1.3ppts QoQ/+7.7 ppts YoY), above both Citi/cons estimates, mainly due to continued mix improvement, a higher liquid cooling contribution, yield gains, and disciplined pass-through of raw material price fluctuations to customers. Non-ops included a NT$304mn FX loss, which partially offset the strong core business.

ASIC ramp and capacity guidance underpin long-term outlook — Mgmt. guided positively for 4Q26 and 2027, led by AI ASIC project ramp-up and early Vera Rubin generation contribution. We now model 16% QoQ revenue growth for 4Q26E. GPM guidance also points to further sequential improvement vs. 3Q26, driven by a higher liquid cooling mix and scale effects. Mgmt. expects server compute tray liquid cooling penetration to reach 100% by end-2027. Mgmt. reiterated 2026E/26E capex guidance of NT$15bn/15-20bn, alongside 50%+ cold plate capacity expansion, reinforcing confidence in capacity build-out.

Implications — We fine-tune our 2026E-28E earnings forecasts to reflect updated guidance and outlook. We maintain our TP at NT$4,350, still based on 25x 2027E EPS. We believe AVC's solid supply position across key customers' AI GPU and ASIC projects, combined with a sustained growth trajectory, continues to support its valuation. With visibility extending into 2027, we see limited near-term read-through risk from the ongoing platform transition. We reiterate our Buy rating on AVC.

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	8,172	21.21	50.4	131.5	37.9	32.1	0.2
2025A	19,186	49.17	131.8	56.7	24.8	52.2	0.3
2026E	42,737	108.62	120.9	25.7	13.7	68.1	0.7
2027E	67,979	172.36	58.7	16.2	7.4	59.1	1.6
2028E	84,424	214.06	24.2	13.0	4.8	44.2	2.6

Source: Powered by dataCentral

Buy

Price (10 Nov 26 13:30)	NT$2,790.00
Target price	NT$4,350.00
Expected share price return	55.9%
Expected dividend yield	1.6%
Expected total return	57.6%
Market Cap	NT$1,095,550M US$33,423M

Price Performance
(RIC: 3017.TW, BB: 3017 TT)



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3017.TW: Fiscal year end 31-Dec						Price: NT$2,790.00; TP: NT$4,350.00; Market Cap: NT$1,095,550m; Recomm: Buy					
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	71,761	139,639	225,627	330,297	402,013	PE (x)	na	56.7	25.7	16.2	13.0
Cost of sales	-54,891	-103,605	-151,524	-214,848	-259,208	PB (x)	37.9	24.8	13.7	7.4	4.8
Gross profit	16,870	36,034	74,103	115,449	142,805	EV/EBITDA (x)	84.7	35.5	15.6	9.3	6.9
Gross Margin (%)	23.5	25.8	32.8	35.0	35.5	FCF yield (%)	0.5	3.0	5.3	7.4	8.1
EBITDA (Adj)	**12,810**	**30,314**	**66,852**	**106,602**	**131,382**	Dividend yield (%)	0.2	0.3	0.7	1.6	2.6
EBITDA Margin (Adj) (%)	17.9	21.7	29.6	32.3	32.7	Payout ratio (%)	32	20	19	27	34
Depreciation	-1,988	-2,759	-4,206	-5,954	-6,114	ROE (%)	32.1	52.2	68.1	59.1	44.2
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**10,823**	**27,556**	**62,646**	**100,649**	**125,268**	EBITDA	12,810	30,314	66,852	106,602	131,382
EBIT Margin (Adj) (%)	15.1	19.7	27.8	30.5	31.2	Working capital	333	730	-1,188	0	0
Net interest	114	91	355	220	220	Other	-3,511	8,371	7,652	-8,452	-24,780
Associates	-291	-483	-31	0	0	**Operating cashflow**	**9,632**	**39,415**	**73,317**	**98,150**	**106,602**
Non-Op/Except/Other Adj	1,707	1,623	45	0	0	Capex	-4,540	-7,267	-14,612	-17,000	-18,000
Pre-tax profit	**12,352**	**28,786**	**63,015**	**100,868**	**125,488**	Net acq/disposals	-3,286	-5,976	-8,317	0	0
Tax	-3,159	-7,836	-16,665	-26,582	-33,345	Other	157	-93	0	0	0
Extraord./Min.Int./Pref.div.	-1,020	-1,764	-3,613	-6,308	-7,719	**Investing cashflow**	**-7,669**	**-13,336**	**-22,929**	**-17,000**	**-18,000**
Reported net profit	**8,172**	**19,186**	**42,737**	**67,979**	**84,424**	Dividends paid	-2,667	-3,855	-8,364	-18,630	-29,633
Net Margin (%)	11.4	13.7	18.9	20.6	21.0	**Financing cashflow**	**200**	**2,620**	**5,693**	**-3,124**	**1,612**
Core NPAT	8,172	19,186	42,737	67,979	84,424	**Net change in cash**	**2,967**	**28,606**	**56,081**	**78,026**	**90,214**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**5,092**	**32,148**	**58,705**	**81,150**	**88,602**
Reported EPS ($)	21.21	49.17	108.62	172.36	214.06						
Core EPS ($)	21.21	49.17	108.62	172.36	214.06						
DPS ($)	6.87	9.68	20.56	45.80	72.84						
CFPS ($)	25.00	101.02	186.34	248.86	270.29						
FCFPS ($)	13.22	82.39	149.20	205.76	224.65						
BVPS ($)	73.68	112.45	203.66	374.67	587.05						
Wtd avg ord shares (m)	385	390	393	394	394						
Wtd avg diluted shares (m)	385	390	393	394	394						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	21.2	94.6	61.6	46.4	21.7						
EBIT (Adj) (%)	45.8	154.6	127.3	60.7	24.5						
Core NPAT (%)	54.1	134.8	122.7	59.1	24.2						
Core EPS (%)	50.4	131.8	120.9	58.7	24.2						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	29,924	58,530	113,422	191,448	281,662						
Accounts receivables	7,767	12,133	13,440	20,981	24,306						
Inventory	33,397	49,572	76,943	112,777	128,509						
Net fixed & other tangibles	22,481	33,074	53,492	63,683	74,690						
Goodwill & intangibles	169	195	250	250	250						
Financial & other assets	6,168	6,633	7,476	11,234	12,891						
Total assets	**99,906**	**160,137**	**265,023**	**400,372**	**522,307**						
Accounts payable	28,884	48,109	70,878	104,421	119,148						
Short-term debt	13,130	16,311	25,889	25,889	25,889						
Long-term debt	3,349	6,949	7,999	4,875	6,486						
Provisions & other liab	21,070	38,203	70,159	100,803	114,256						
Total liabilities	**66,433**	**109,572**	**174,924**	**235,988**	**265,779**						
Shareholders' equity	28,871	44,601	80,958	148,937	233,361						
Minority interests	4,602	5,964	9,140	15,448	23,167						
Total equity	**33,473**	**50,565**	**90,098**	**164,385**	**256,528**						
Net debt (Adj)	**-13,445**	**-35,270**	**-79,535**	**-160,685**	**-249,287**						
Net debt to equity (Adj) (%)	-40.2	-69.8	-88.3	-97.7	-97.2						

For definitions of the items in this table, please click here.

Figure 1. AVC - 3Q26 earnings preview

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	59,089	49,121	20%	38,937	52%	58,054	2%	57,904	2%
Gross profit	20,010	15,999	25%	10,172	97%	19,510	3%	19,302	4%
Gross margin	*33.9%*	*32.6%*	*+1.3 ppt*	*26.1%*	*+7.7 ppt*	*33.6%*	*+0.3 ppt*	*33.3%*	*+0.5 ppt*
Op. profit	16,856	13,478	25%	8,085	108%	16,340	3%	16,178	4%
OP margin	*28.5%*	*27.4%*	*+1.1 ppt*	*20.8%*	*+7.8 ppt*	*28.1%*	*+0.4 ppt*	*27.9%*	*+0.6 ppt*
Net income	11,564	9,567	21%	5,339	117%	11,298	2%	11,222	3%
EPS (NT$)	29.32	24.37	20%	13.67	114%	28.78	2%	28.43	3%

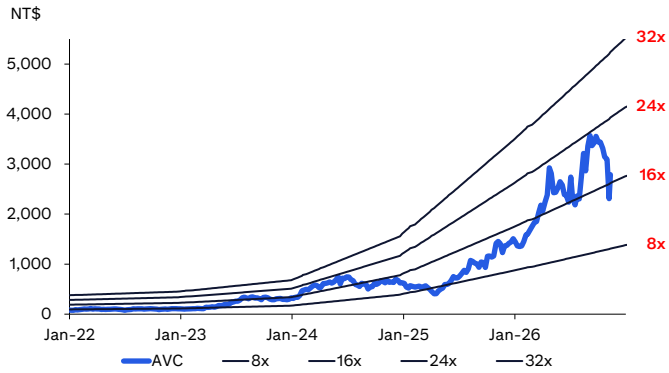
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Source: Company Reports, Citi Research Estimates, Bloomberg

Figure 2. AVC - Earnings estimate revisions

(NT$mn)	2026E New	2026E Old	2026E Chg.	2027E New	2027E Old	2027E Chg.	2028E New	2028E Old	2028E Chg.
Sales	225,627	221,075	2%	330,297	332,697	-1%	402,013	404,256	-1%
Sequential growth	*62%*	*58%*		*46%*	*50%*		*22%*	*22%*	
Gross profit	74,103	72,163	3%	115,449	116,061	-1%	142,805	143,445	0%
Opex	11,457	11,731	-2%	14,801	17,079	-13%	17,537	20,577	-15%
Operating profit	62,646	60,432	4%	100,649	98,982	2%	125,268	122,868	2%
Pre-tax profit	63,015	61,360	3%	100,868	100,004	1%	125,488	123,889	1%
Net income	42,737	41,464	3%	67,979	68,207	0%	84,424	84,576	0%
EPS (NT$)	108.62	105.62	3%	172.36	173.74	-1%	214.06	215.43	-1%
Gross margin	32.8%	32.6%	+0.2 ppt	35.0%	34.9%	+0.1 ppt	35.5%	35.5%	+0.0 ppt
Opex ratio	5.1%	5.3%	-0.2 ppt	4.5%	5.1%	-0.7 ppt	4.4%	5.1%	-0.7 ppt
Operating margin	27.8%	27.3%	+0.4 ppt	30.5%	29.8%	+0.7 ppt	31.2%	30.4%	+0.8 ppt
Net margin	18.9%	18.8%	+0.2 ppt	20.6%	20.5%	+0.1 ppt	21.0%	20.9%	+0.1 ppt

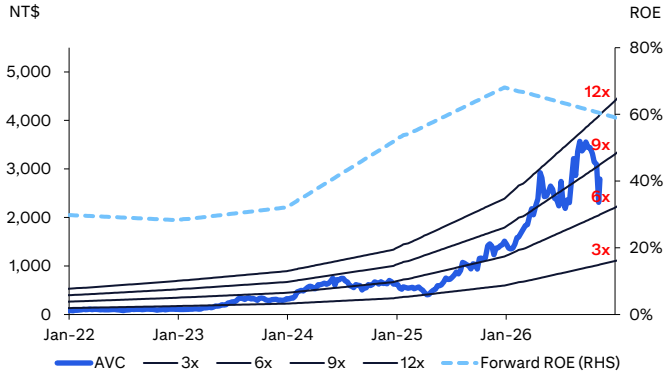
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Figure 3. AVC - Forward P/E band



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Figure 4. AVC - Forward P/B band



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Figure 5. AVC - Quarterly earnings forecasts

(NT$ in Mn, year-end Dec)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	**49,038**	**49,121**	**59,089**	**68,379**	**70,939**	**78,292**	**85,345**	**95,721**	**139,639**	**225,627**	**330,297**	**402,013**
Gross Profit	**14,597**	**15,999**	**20,010**	**23,497**	**24,607**	**27,332**	**29,706**	**33,805**	**36,034**	**74,103**	**115,449**	**142,805**
OPEX	(2,578)	(2,521)	(3,155)	(3,203)	(3,224)	(3,408)	(3,980)	(4,188)	(8,478)	(11,457)	(14,801)	(17,537)
Operating profit	**12,019**	**13,478**	**16,856**	**20,294**	**21,382**	**23,924**	**25,725**	**29,617**	**27,556**	**62,646**	**100,649**	**125,268**
Total Non-OP	(40)	457	(103)	55	55	55	55	55	1,231	369	220	220
Pre-tax profit	11,979	13,935	16,752	20,349	21,437	23,979	25,780	29,672	28,786	63,015	100,868	125,488
Net Profit	**7,916**	**9,567**	**11,564**	**13,690**	**14,768**	**16,158**	**17,457**	**19,595**	**19,186**	**42,737**	**67,979**	**84,424**
EPS (NT$)	**20.17**	**24.37**	**29.32**	**34.71**	**37.45**	**40.97**	**44.26**	**49.68**	**49.17**	**108.62**	**172.36**	**214.06**
Revenue mix												
Thermal	64%	62%	68%	70%	70%	69%	68%	71%	57%	66%	70%	69%
Chassis	20%	21%	17%	17%	17%	17%	18%	17%	18%	18%	18%	19%
System Integration	8%	9%	7%	6%	6%	6%	5%	5%	16%	7%	5%	4%
Hinge (Fositek)	9%	8%	8%	8%	8%	8%	8%	8%	9%	8%	8%	8%
Margins (%)												
Gross profit	**29.8%**	**32.6%**	**33.9%**	**34.4%**	**34.7%**	**34.9%**	**34.8%**	**35.3%**	**25.8%**	**32.8%**	**35.0%**	**35.5%**
OPEX to sales	5.3%	5.1%	5.3%	4.7%	4.5%	4.4%	4.7%	4.4%	6.1%	5.1%	4.5%	4.4%
Operating Margin	**24.5%**	**27.4%**	**28.5%**	**29.7%**	**30.1%**	**30.6%**	**30.1%**	**30.9%**	**19.7%**	**27.8%**	**30.5%**	**31.2%**
Pre-tax profit	24.4%	28.4%	28.4%	29.8%	30.2%	30.6%	30.2%	31.0%	20.6%	27.9%	30.5%	31.2%
Net Margin	**16.1%**	**19.5%**	**19.6%**	**20.0%**	**20.8%**	**20.6%**	**20.5%**	**20.5%**	**13.7%**	**18.9%**	**20.6%**	**21.0%**
Y/Y												
Net sales	110.2%	66.0%	51.8%	43.1%	44.7%	59.4%	44.4%	40.0%	94.6%	61.6%	46.4%	21.7%
Gross profit	142.2%	121.5%	96.7%	86.3%	68.6%	70.8%	48.5%	43.9%	88.7%	46.3%	41.8%	20.6%
Operating profit	175.6%	164.5%	108.5%	102.6%	77.9%	77.5%	52.6%	45.9%	154.6%	127.3%	60.7%	24.5%
Pre-tax profit	159.3%	136.3%	103.9%	102.4%	79.0%	72.1%	53.9%	45.8%	133.1%	118.9%	60.1%	24.4%
Net Margin	146.3%	139.3%	116.6%	106.3%	86.6%	68.9%	51.0%	43.1%	134.8%	122.7%	59.1%	24.2%
Q/Q												
Net sales	2.6%	0.2%	20.3%	15.7%	3.7%	10.4%	9.0%	12.2%				
Gross profit	15.8%	9.6%	25.1%	17.4%	4.7%	11.1%	8.7%	13.8%				
Operating profit	20.0%	12.1%	25.1%	20.4%	5.4%	11.9%	7.5%	15.1%				
Pre-tax profit	19.2%	16.3%	20.2%	21.5%	5.4%	11.9%	7.5%	15.1%				
Net Margin	19.3%	20.9%	20.9%	18.4%	7.9%	9.4%	8.0%	12.2%				

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Source: Company Reports, Citi Research Estimates

Bull/Bear: Asia Vital Components (3017.TW)

NT$ 5,000.00 ▲79% Upside | NT$ 4,350.00 ▲56% Upside | NT$ 2,000.00 ▼28% Downside



Spread 108pp
Current Price and expected returns (upside/downside) as of 10 Nov 2026

BULL Assumptions

- Higher target multiple at 30x

BASE Assumptions

- Sales to grow by 62% YoY in 2026E, followed by 46% YoY growth in 2027E; OPM at 27.8-30.5%
- Target multiple at 25x

BEAR Assumptions

- Sales to grow by 20%/10% y-o-y in 2026E/27E with OPM at 18.0%
- Target multiple at 20x

Asia Vital Components

Company description

Asia Vital Components (AVC), founded in 1991, is a global leader in thermal solutions, originally focusing on PCs but now specializing in servers and networking. With Furukawa Electric (Japan) as its largest shareholder, AVC provides a comprehensive range of cooling components, including vapor chambers (VCs), fans, cold plates, CDUs, and manifolds, as well as chassis and assembly services for PCs and servers, enabling holistic thermal solution designs and one-stop shop services. AVC's diverse product portfolio supports various sectors, including consumer IT, cloud infrastructure, transportation, energy and networking.

Investment strategy

We rate AVC a Buy. AVC is well-positioned for the liquid-cooling transition, with leadership in cold plates and broad participation across Nvidia and CSP projects. Its high-volume machining capability, manufacturing uniformity, and Vietnam-based capacity provide it with a defensible position as Blackwell and future deployments expand. The company captures a wider share of the thermal BOM, across coldplates, manifolds, QDs, and CDU opportunities, providing a multi-layered earnings engine.

Valuation

We value AVC using a PE-based approach that factors in earnings momentum and the expansion of its addressable market. Our TP of NT$4,350 is derived from applying a 25x PE multiple on 2027E EPS, which we believe is justified given the company's entrenched positioned in the server thermal segment, rising contribution from liquid cooling, and the increasing value of thermal content per server as power density continues to climb. With these structural drivers still in place, we expect the multiple to hold at a premium relative to its historical averages.

Risks

This stock is High Risk based upon our quantitative model but assigning a High Risk rating is not supported by other qualitative factors such as cold-plate leadership and deep CSP penetration, and so a High Risk rating has not been applied. Key downside risks to our investment thesis and target price include: 1) slower adoption pace for liquid cooling adoption; 2) heightened price competition; 3) lower-than-expected share in liquid cooling components; and 4) emerging alternative cooling technologies.

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Appendix A-1

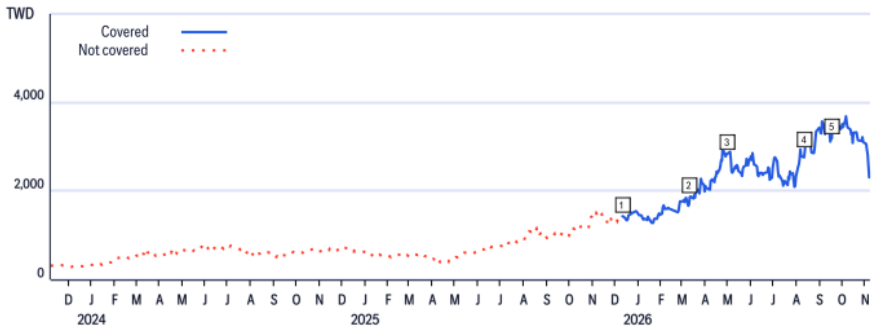
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IMPORTANT DISCLOSURES

Asia Vital Components (3017.TW)
Ratings and Target Price History
Fundamental Research

Analyst: Michael Hung



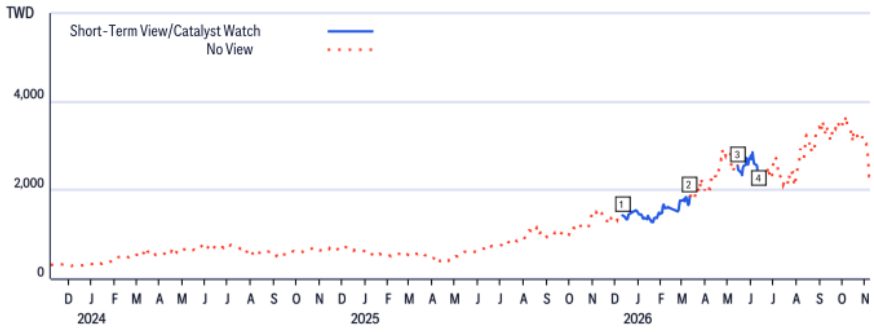
	Date	Rating	Target Price	Closing Price
1	11-Dec-25 07:34:19	*1	*2,055.00	1,430.00
2	11-Mar-26 12:50:47	1	*2,400.00	1,860.00
3	30-Apr-26 11:37:17	1	*3,450.00	2,835.00
4	12-Aug-26 08:14:33	1	*3,800.00	2,910.00
5	17-Sep-26 11:26:13	1	*4,350.00	3,185.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Asia Vital Components (3017.TW)
Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Dec-25 02:34:19	Add STV	Upside	90 Days	1,430.00
2	11-Mar-26 21:46:27	Remove STV	Upside	90 Days	1,860.00
3	14-May-26 07:40:28	Add STV	Upside	30 Days	2,555.00
4	12-Jun-26 14:22:58	Remove STV	Upside	30 Days	2,405.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
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